Financial research prompt library

Tarana Bansal | Ten prompts for filings review, peer screening, model audit and diligence | Version 1

Rules for every prompt. (1) Never paste confidential client data into any AI tool. (2) Ask the model to cite the page or section for each fact and to mark anything it is unsure of as "verify". (3) Check every number against the source document yourself; AI output is a first draft, not evidence. (4) Keep a log: prompt version, task, time taken, errors found.

1. Peer-set screening

Use: Shortlist comparable companies and justify exclusions.

```
Act as an equity research associate. I am valuing [COMPANY] ([SECTOR], India). Below is a candidate list with revenue, EBITDA margin and business description: [PASTE]. Shortlist 4-6 listed peers. Criteria: at least 60% of revenue in overlapping businesses, revenue within 0.3x-3x of [COMPANY], same regulatory environment, data available for 3 years. Return a table: peer | why included | revenue mix | main comparability risk. Then list every exclusion with one reason. Flag any peer whose EV/EBITDA is above 2x the group median as a likely outlier. Do not invent figures; write "verify" next to anything not in my data.
```

Check before trusting: Re-derive two peers' revenue mix from their annual reports; confirm no listed peer was dropped without a reason.

2. MD&A summary

Use: Turn management commentary into a structured brief.

```
Summarise the MD&A below for [COMPANY], FY[YEAR]. Output: (a) growth drivers with the numbers management cites; (b) margin bridge: what moved EBITDA margin and by how much; (c) segment commentary, one line each; (d) outlook and guidance, quoting each forward-looking statement in 15 words or fewer with its section; (e) risks mentioned; (f) three claims the numbers in the financial statements do or do not support. Mark anything not in the text as "not stated". Text: [PASTE]
```

Check before trusting: Spot-check three numbers against the statements; confirm each quote exists.

3. Model audit checklist

Use: Review a financial model for structural errors.

```
Audit this financial model description for errors a reviewer would catch. Sheets and logic: [PASTE sheet list, key formulas, outputs]. Check: hard-coded numbers inside formulas; unit and sign consistency; balance sheet balance and cash tie-out; discount timing; terminal value as % of EV and implied exit multiple; WACC inputs and weights; scenario links; football field linked to source sheets; share count versus capital. Return a table: issue | where to look | severity (High/Medium/Low) | a one-line test to confirm it. Do not assume anything not described; list the questions you would need answered.
```

Check before trusting: Run each suggested test in Excel; keep only issues you can reproduce.

4. Risk extraction from an annual report

Use: Separate real risks from boilerplate.

```
From the sections below (risk factors, notes, auditor report) of [COMPANY], extract company-specific risks only. Categorise as financial, operational, regulatory, counterparty, governance. For each: the risk in one sentence, the section or page, the financial line it affects, and severity with a reason. List separately any risk that appears boilerplate. Finish with three items the document is silent about that a diligence reviewer would expect. Text: [PASTE]
```

Check before trusting: Confirm each cited section exists; verify severity against the numbers.

5. Quality-of-earnings scan

Use: Test whether profit is backed by cash and operations.

```
Using the figures below for [COMPANY], FY[Y-1] and FY[Y], compute and show formulas for: other income as % of pre-exceptional profit; contribution of each line to the change in pre-exceptional profit; CFO / EBITDA; receivable growth versus revenue growth; provisions or ECL as % of EBITDA; effective tax rate; minority share of profit. Then list red flags with a severity and the evidence. Figures: [PASTE P&L, cash flow, receivables, provisions]
```

Check before trusting: Recompute two ratios by hand; check the profit bridge sums to the total change.

6. Working-capital trend

Use: Extract receivable, inventory and payable days over time.

```
From the balance sheets and income statements below, compute for each year: receivable days, inventory days, payable days (state the denominator), cash conversion cycle, net working capital as % of sales. Show formulas. Identify which balance sheet line drives each change and whether the change comes from customers, inventory or suppliers. State whether the improvement or deterioration looks reversible and why. Data: [PASTE]
```

Check before trusting: Check denominators are consistent across years; confirm the driver line.

7. Related-party and contingent-liability extractor

Use: Tabulate exposures from the notes.

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From the notes below, build two tables. Related parties: counterparty | relationship | transaction type | amount | balance outstanding | terms or pricing basis | approval. Contingent liabilities: category (guarantees, tax, legal, other) | amount | prior year | change | basis (standalone or consolidated). Then list questions a reviewer should ask about each large or fast-growing item. Mark missing disclosures. Notes: [PASTE]
```

Check before trusting: Total each table against the note's own total; confirm the basis.

8. Reverse DCF and assumption challenger

Use: Find what the market price implies and stress the weakest inputs.

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Here are my DCF assumptions and outputs for [COMPANY]: [PASTE]. Market price: [PRICE]. (a) State what WACC or terminal growth the market price implies, using my cash flows. (b) Rank my five most sensitive assumptions. (c) For each, name the evidence that would justify a different value and where to find it. (d) List two ways my valuation could be wrong that do not appear in the inputs. Be specific; no generic advice.
```

Check before trusting: Reproduce the implied WACC in Excel; check the ranking against a sensitivity table.

9. Management-question generator

Use: Turn red flags into precise questions.

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Below is my red-flag table for [COMPANY] with the evidence for each. For each red flag write: one precise question tied to the number, one follow-up if the answer is evasive, and the document to request. Keep each question under 40 words and make it impossible to answer with "yes" or "no". Table: [PASTE]
```

Check before trusting: Check each question cites the right number; remove generic ones.

10. Deck tie-out and headline sharpener

Use: Check numbers and tighten the message before sending.

```
Below are my slide text and the model output table. (a) List every number on the slides that does not appear in the table, and every number that differs. (b) Rewrite each slide title as a one-sentence insight of 25 words or fewer with the number in it. (c) Identify the single weakest claim in the deck and what evidence would support it. Slides: [PASTE] Model outputs: [PASTE]
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Check before trusting: Fix every mismatch at the source model, not just on the slide.